

WHAT THIS DOCUMENT AIMS AT?				
This document aims to summarize the tax law on withholding tax and treatment thereof, taking into account the proposed amendments vide the Finance Bill, 2026. If approved, these tax rates & treatments are to be effective from July 01, 2026, i.e., for the Tax Year 2027. The information summarized herein is general and based on our interpretation of law. This information does not constitute any opinion or advice and may also not be acceptable to taxation authorities in a particular case. Tax laws are subject to change from time to time and we do neither warrant at any time the currency of the above details nor accept any responsibility to update the same.				

IMPORTS Sec 148 & Part II First Schedule				
Activity	Importer Category	Tax Rate		Nature of Tax
		Filer	Non-Filer	
Goods as per Part I of the Twelfth Schedule	All	1%	2%	Advance Tax for Industrial Undertaking importing goods other than Edible oil, Packing material, Paper and Paper-board or Plastics
Goods as per Part II of the Twelfth Schedule	Comm. Importers	3.5%	7%	
	Others	2%	4%	
Goods as per Part III of the Twelfth Schedule	Commer. Importers	6%	12%	
	Others	5.5%	11%	
Goods mentioned in SRO 1125(I)/2011	Manu- facturers	1%	2%	
Medicines not manufactured locally as certified by DRAP	All	4%	8%	Minimum Tax for All Other Cases
CKD Kits for EVs (small cars/ SUVs)/ LCVs with battery up to 50kWh/ 150kWh respectively	All	1%	2 %	
Note: Tax u/s 148 is not applicable where the payment for imported goods has been subjected to Digital Presence Proceeds Levy.				

IMPORT OF MOBILE PHONES <i>Sec148 & Part II of First Sch.</i>				
C&F Value (USD)	CBU	CKD/ SKD	Nature of Tax	
Up to 30, except smartphone	Rs. 70	NIL	Adv. Tax for Industrial Undertaking	Min. Tax for All Other Cases
From 31 to 100	Rs. 100	NIL		
From 101 to 200	Rs. 930	NIL		
From 201 to 350	Rs. 970	NIL	Min. Tax for All Other Cases	Min. Tax for All Other Cases
From 351 to 500	Rs. 5,000	Rs. 3,000		
Above 500	Rs. 11,500	Rs. 5,200		
Note: Advance tax is to be increased by 100% for non-filers				

SALARY Sec 149, 149(1A) Div. I Part I First Schedule				
Taxable Salary		Rate of Tax		
From	To			
Up to 600,000		0%		
600,001	1,200,000	1% on > Rs.0.6M		
1,200,001	2,200,000	6,000	PLUS	11% on >Rs.1.2M
2,200,001	3,200,000	116,000		20% on > Rs.2.2M
3,200,001	4,100,000	316,000		25% on > Rs.3.2M
4,100,000	5,600,000	541,000		29% on > Rs.4.1M
5,600,001	7,000,000	976,000		32% on > Rs.5.6M
Above 7,000,000		1,424,000	35% on > Rs.7M	
Pension Where age is below 70 years and amount > Rs. 10M		5%		
Directorship fee		20%		

Activity		Tax Rate		Nature of Tax	
		Filer	Non-Filer		
DIVIDEND Sec 150, Div. I Pt. III 1 st Sch. & Cl. 18C Pt. II & Cl. 11B Pt. IV 2 nd Sch.					
Paid by IPPs, when it is a pass-through item to be reimbursed by CPPAG		7.5%	15%	Final Tax	
Attributable to income from biomass & bagasse-based power projects					
From companies availing exemption or benefits from carried-forward business losses & tax credits		25%	50%		
From mutual funds (Proportional income basis from avg. annual investments in debt securities & equities)	Debt funds	Received by Company	29%		58%
		Other Recipients	25%		50%
	Equity funds	15%	30%		
Received from REITs & other cases		15%	30%		
Dividend in specie		15%	30%		
From SPV	By REIT scheme	0%	0%		
	By others	35%	70%		
Intercompany dividend/ group taxation		Not Applicable			
Dividend to Transmission Line Projects under Transmission Line Policy, 2015					

PROFIT ON DEBT Sec 151, Div. IA Pt. III 1 st Sc./ Cl. 5AB Pt. II 2 nd Sc.				
Paid by Banks & Financial Institutions	Received by Companies			Advance Tax
	Received by Individuals/ AOPs	Profit up to Rs. 5M		Final Tax
		Profit above Rs. 5M	20%	40%
Paid on Government Securities (e.g. National Saving, Post Office, T-Bills, etc.)	Received by Individuals	Profit up to Rs. 5M		Final Tax
		Profit above Rs. 5M		Advance Tax
	Received by AOPs	Profit up to Rs. 5M		Final Tax
		Profit above Rs. 5M		Advance Tax
	Received by Companies		15%	30%
Paid in other cases	Received by Individuals/ AOPs	Profit up to Rs. 5M		Final Tax
		Profit above Rs. 5M		Advance Tax
Received by Resident Pakistanis on Government securities, purchased via FCVA under SBP's Scheme				
			10%	Final Tax

INVESTMENTS IN SUKUKS Sec 151, Div. IB , Pt. III 1 st Sch				
Returns received by Companies		25%	50%	Advance Tax
Returns rec by AOPs/ Individuals	Up to Rs. 1M	10%	20%	Final Tax
	Above Rs.1M up to 5M			
	Above Rs. 5M	12.5%	25%	Minimum Tax

PREMATURE DISPOSAL OF DEBT SECURITIES Sec 151A Div. IIIA, Pt. III 1 st Sch				
Gain on premature disposal of debt securities (T-Bills, etc.)		20%	40%	Advance Tax

PAYMENTS BY LIFE INSURANCE COMPANIES & TAKAFUL Sec 151B, & 7G Div. IC Pt. III, 1 st Sch.				
Payout/ benefit within 1 year from date of policy issuance		15% of Surplus Payout over Aggregate Premia		Final Tax
Payout/ benefit after 1 year but before 7 years from date of policy issuance		10% of Surplus Payout over Aggregate Premia		Final Tax
Payout/ benefit amount of death, disability or after 7 years from policy issuance		N/A		N/A

PAYMENTS TO NON-RESIDENTS Sec 152, Div. IV Pt. I, Div. II Pt. III 1 st Sch. & Cl. 5A, 5AA, 5AC Pt. II 2 nd Schedule				
Royalty/ fees for technical services or Fee of offshore digital services		15%		Final Tax
Money transfer operations, Card network services, Payment gateway services, Interbank financial telecom services		10%		

Activity	Tax Rate		Nature of Tax
	Filer	Non-Filer	
IT services and IT enabled services	4%	8%	Minimum Tax
Contracts/ subcontract under a construction, assembly/ installation project (including supply of supervisory activities therefor) and Advertisement services by TV Satellite Channels		7%	Final Tax
Insurance/ re-insurance premium		5%	
Advertisement services relaying from outside Pakistan		10%	
Foreign produced commercials for TV channel/ other media		20%	Final Tax
Capital gain to Foreign Companies on disposal of Debt Inst. & Govt. Securities invested via SCRA	If holding period is 6 months or more	10%	
	If holding period is less than 6 months	20%	
Capital gain to individuals on disposal of Debt Inst. & Govt. Securities invested via FCVA, FCBA, NRVA & NRBA		10%	
Profit on FCYAs or COIs under SBP FC Account Scheme		0%	Exempt
Other payments		20%	Advance Tax

PAYMENTS TO PE OF NON-RESIDENTS Sec 152, Div. II Pt. III 1 st Sch.				
For Goods supplied	Company	5%	10%	Minimum Tax
	Other than Company	5.5%	11%	
Transport Freight forwarding Air cargo Courier Manpower outsourcing Hotel Security guard Software development Tracking Advertising, other than by print/ electronic media Share registrar Engineering Car rentals Building maintenance Inspection, certification & testing Training Oilfield services		8%	16%	
IT & IT enabled services		4%	8%	
Contract by sports persons		15%	30%	Minimum Tax
Other services				
Contracts other than for goods & services		8%	16%	

SUPPLY OF GOODS INCLUDING TOLL MANUFACTURING Sec 153(1)(a), Div. III Pt. III 1 st Sch, Cl 24A, 24C, 31, 45A Pt. II 2 nd Sch.					
Sale of rice, cotton seed or edible oil		1.5%	3%		
Sale of cigarettes by distributors		2.5%	5%		
Sale of pharma products by distributors		1%	2%		
Sale by distributors, dealers, sub-dealers, wholesales & Tier-1 retailers integrated & configured with Board (also appearing on FMCG Fertilizer Electronics (excluding mobile phones) Sugar Cement Steel Edible oil of the following:		0.25%	0.5%	Advance Tax for Listed Companies and Companies Engaged in Manufacturing	
Textile & articles thereof Carpets Leather & articles thereof Artificial leather footwear Surgical goods Sports Goods		1%	2%		
Supplies & services to above sectors by Yarn Traders		0.5%	1%		
Other supplies/ sales	By companies	Toll Manufacturing	9%	18%	Minimum Tax for all other cases
		Others	5%	10%	
	By AOPs & Individuals	Toll Manufacturing	11%	22%	
		Others	5.5%	11%	
Sale of gold & silver and articles thereof		1%	2%	Advance Tax	
Notes: (1) No tax to be withheld in case of: (a) where aggregate annual payment is below Rs.75,000 (b) purchase of an asset under lease & buy back agreement by Banks and Non-banking Finance Companies. (c) Public limited companies, where a Certificate for WHT Exemption has been issued by the Commissioner. (2) Tax to be withheld at reduced rate , where a Certificate to this effect has been issued by the Commissioner.					

PAYMENTS FOR SERVICES Sec 153(1)(b), 153(2), Div. III & Div. IV Pt. III 1 st Schedule				
Transport Freight forwarding Air cargo Courier Manpower outsourcing Hotel Security guard Software development Tracking Advertising, other than by print/ electronic media Share registrar Engineering/ Architectural services Warehousing AMCs Data services Telecom. infrastructure (tower) services Car rentals Building maintenance PSEL & PMEL Inspection, certification & testing Training Oilfield services Telecom Collateral management Travel & tours REIT management NCCPL services	7%	14%	Minimum Tax	
IT services and IT enabled services	4%	8%		
Advertising services electronic/ print	1.5%	3%		
Professionals working independently e.g. doctors, lawyers, architects, accountants, software engineers/ developers	15%	30%	Final Tax	
Terminal or port services	12%	24%		
Stitching, dying, printing, embroidery, washing, sizing & weaving to Exporters	1.25%	2.5%		
Other services	14%	28%	Final Tax	
Note Not applicable if aggregate annual payment is under Rs.30,000				

EXECUTION OF CONTRACTS Sec 153(1)(c), Div III Pt III 1st Sch.				
Contracts performed by Listed Companies		7.5%	15%	Advance Tax
Contracts performed by Other Companies				Minimum Tax
Contracts performed Individuals/ AOPs		8%	16%	
Contracts performed by sportspersons		15%	30%	

GOODS & SERVICES ACQUIRED VIA E-COMMERCE Sec 6A, Div IVA Pt I 1st Sch. & Sec 153 (2A) Div III, Pt III 1st Sch.				
Payment via digital means	1%	2%	(Adjustable for turnover > Rs.200M)	
Payment of cash on delivery	2%	4%	Final Tax	
Note Poses a challenge of taxing one economic activity twice for sale of imported goods.				

EXPORTS Sec 154 Div. IV Pt. III 1 st Sch, Cl. 47C Pt. IV 2 nd Schedule				
Realization of export proceeds				Minimum Tax @ 1.25%
Goods sold per inland back-to-back LC				
Export of goods by units in EPZ				
Payments under DTRE Rules & Export Facilitation Scheme, 2021 to indirect exporters by direct exporters				Not Applicable
Cooking oil/ vegetable ghee exported to Afghanistan, if tax u/s 148 is paid		0%		

EXPORT OF SERVICES Sec 154A IVA Pt. III 1 st Schedule				
Software, IT or IT-enabled services by PSEB registered taxpayers		0.25%		Final Tax, subject to specified conditions
Services/ technical services	Rendered abroad			
	Exported from Pakistan			OR/ Optional Advance Tax
Royalty/ commission/ franchise fees received by a resident company from a foreign entity for use of intellectual property outside Pakistan		1%		
Construction contracts executed outside Pakistan				
Foreign indenting commission				

Activity	Tax Rate		Nature of Tax
	Filer	Non-Filer	
EXPORT OF SERVICES Sec 154B IVA Pt. III 1 st Schedule			
Amounts received from social media platforms by Residents borne on ATL from YouTube, Facebook, Instagram, TikTok, etc.	5%	N/A	Minimum Tax
Revenues received from social media platforms — Non-resident persons	5%		Final Tax
RENT OF IMMOVABLE PROPERTY Sec 155, Div. V Pt. III 1 st Sch.			
Company	15%		
Individual & AOP	Annual Rent (Rs.)		Advance Tax (Rates to be increased by 100% for Non-filers)
	From	To	
	Up to 300,000		
	300,001	600,000	
	600,001	2,000,000	
	Above 2,000,000	Rs.155K + 25% of rent > Rs.2M	

PRIZES AND WINNINGS Sec 156, Div. VI Pt. III 1 st Schedule				
On a prize bond or crossword puzzle	15%	30%	Final Tax	
Raffle, lottery, winning quiz & prizes on sales promotion schemes.	20%	40%		

PETROLEUM PRODUCTS Sec 156A, Div. VIA Pt. III 1 st Schedule			
Commission amount / discount allowed to a petrol pump operator	12%	24%	Final Tax
CASH WITHDRAWAL Sec 231AB			
Cash withdrawal exceeding Rs. 50,000	0%	0.8%	Advance Tax

TAX ON MOTOR VEHICLES Sec 231B Div. VII Pt. IV 1 st Schedule				
Purchase/ registration		Various	Increased by 100%	Advance Tax
Electric Vehicles (EV) value Rs.5M >		3%		
Transfer of registration/ ownership		Various		
Sale/ transfer of EV valuing Rs.5M >		Rs.20K		
Sale of vehicle on Own-Money		Various		
Leasing to a non-filer		N/A	4%	

TAX ON FOREIGN DOMESTIC WORKERS Sec 231C				
Agency/ Sponsor/ Person to whom visa is issued or renewed for Foreign National	Rs. 200K	Rs. 400K	Advance Tax	

BROKERAGE & COMMISSION Sec 233, Div. II Pt. IV 1 st Schedule				
Advertising agent		10%	20%	Minimum Tax
Life insurance commission<Rs.0.5M pa		8%	16%	
Others		12%	24%	

TAX ON MOTOR VEHICLES Sec 234, Div. VII & III Pt. IV 1 st Schedule				
Goods Transport Vehicle Based on laden weight		Rs.2.5/ Kg	Increased by 100%	Advance Tax
Goods Transport Vehicle Laden weight 8,120Kg > after 10 yrs. of registration		Rs.1.2K		
Passenger transport vehicle plying for hire Based on seating & air-conditioning		Various		
Motor vehicle Based on engine capacity		Various		

COMMERCIAL, INDUSTRIAL ELECTRICITY CONSUMERS Sec 235, Div. IV Pt. IV 1 st Sch., Cl. 66 Pt. IV 2 nd Schedule					
Gross Monthly Bill		Tax Not applicable to Specified Sectors		For Companies	
From	To			Nature of Tax	Advance Tax
Up to Rs. 500		NIL			
Rs. 501	Rs. 20,000	10% of amount		Other Taxpayers	
Above Rs. 20,000		Commercial Consumer	Rs.1,950 + 12% above Rs.20,000	Annual Bill (Rs.)	Nature of Tax
				Up to 360K	Minimum Tax
		Industrial Consumer	Rs.1,950 + 5% over Rs.20,000	Above 360K	Advance Tax